Economics

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Signs of Caution in January Consumer Spending Even Ahead of Iran Conflict

Economic Indicator

Economist(s)

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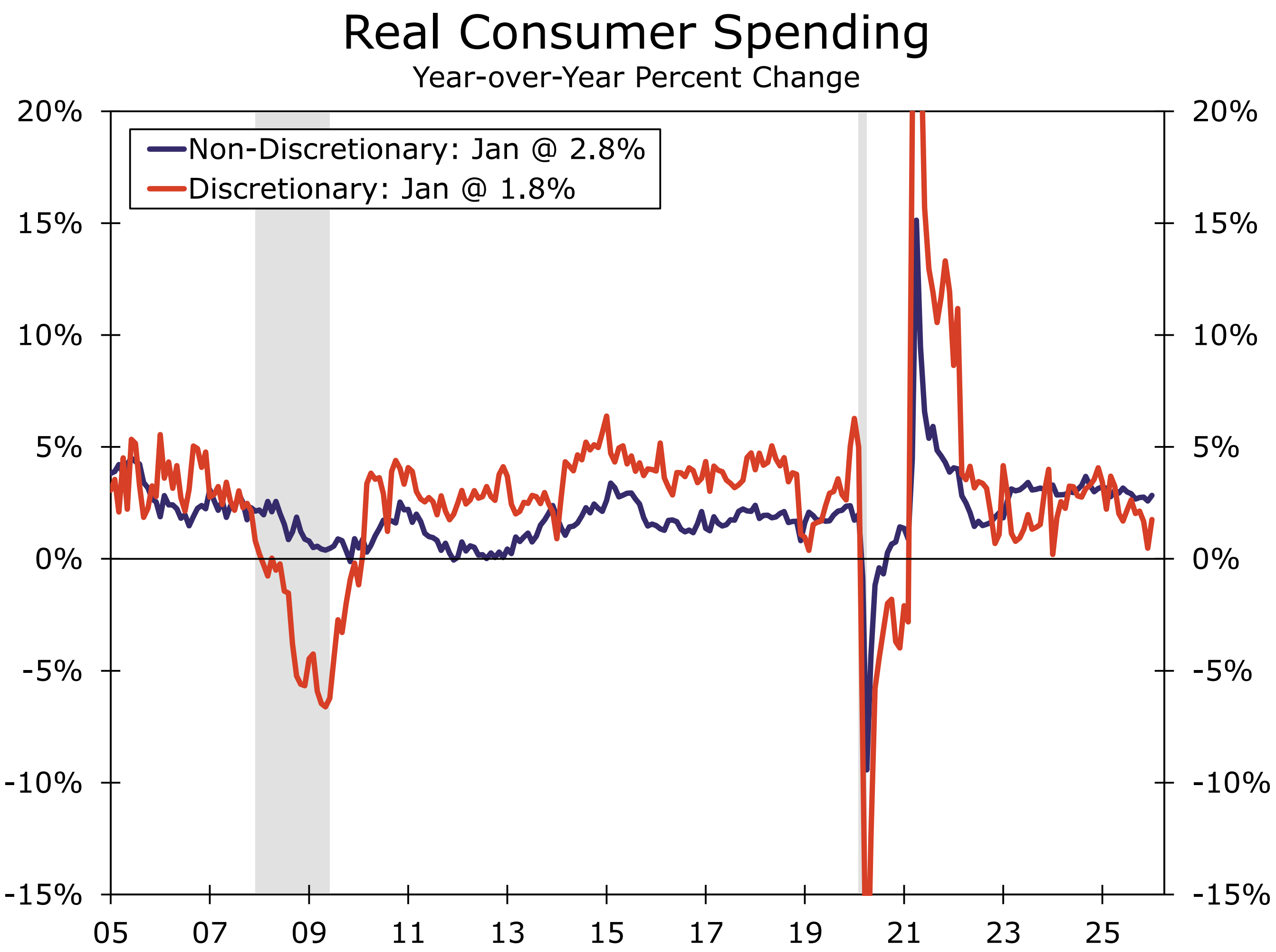
- The January personal income and spending data feel even more dated in the wake of the ongoing conflict in Iran. Consumer spending momentum continued at the start of the year, but a modest pullback in discretionary services categories of spending signals some signs of caution among consumers, even ahead of the recent oil-price shock.
- Strong growth in wages & salaries in January was an encouraging sign, and together with the annual social security cost-of-living adjustment, helped propel real disposable income growth, or purchasing power of households, to grow at the fastest monthly pace in about three years.
- The modest 0.1% gain in real spending combined with some modest downward revisions to Q4 real personal consumption expenditures growth suggests real spending is tracking at a slower annualized clip (~1.5%) than we currently have forecast (1.9%) in Q1.
- Consumer inflation remained contained at the start of the year. But the ongoing conflict in Iran is likely to dent households' purchasing power in coming months amid higher gasoline prices, and we've marked down our consumer spending forecast in our recent update as a result.



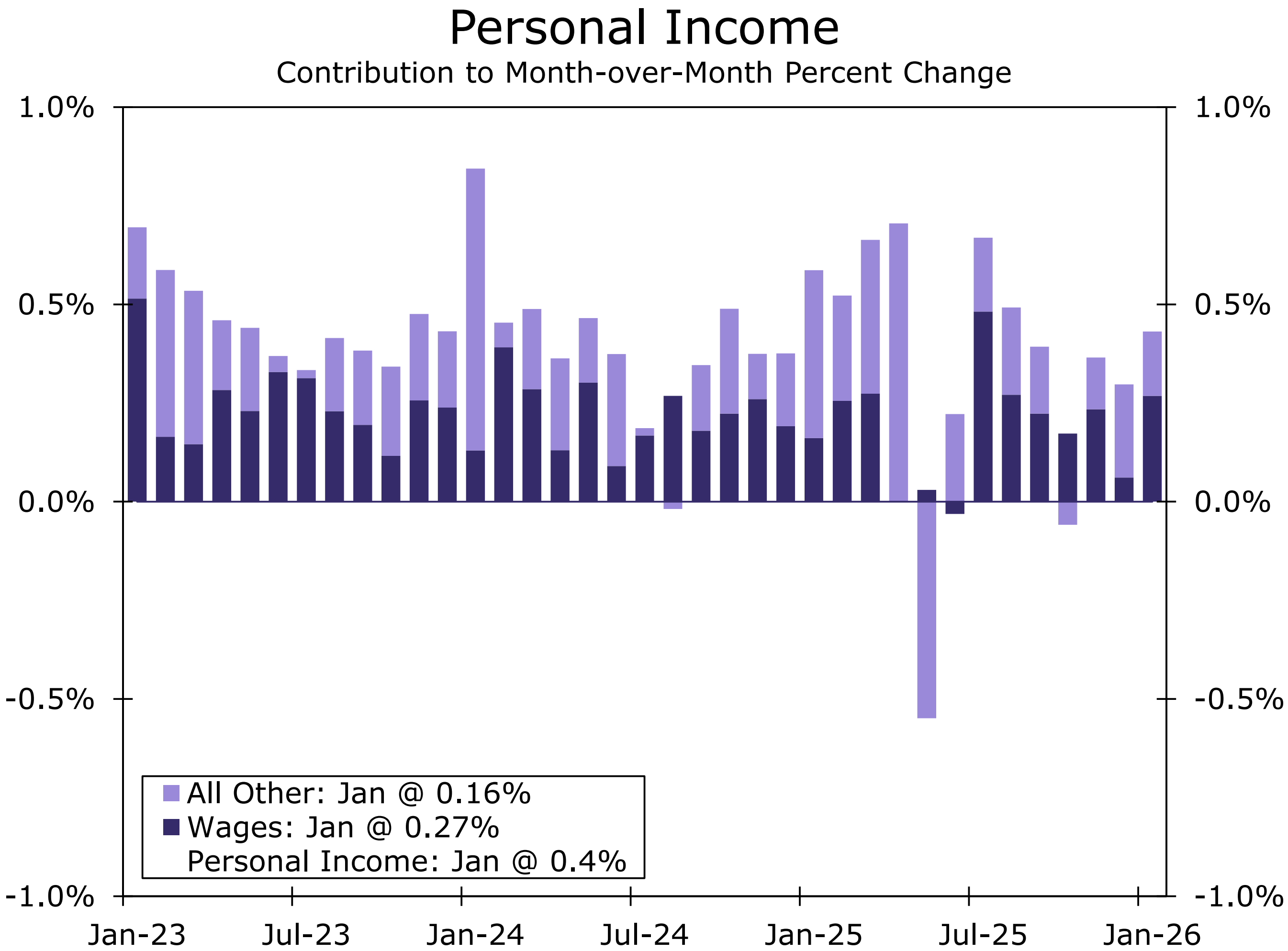
Source: U.S. Department of Commerce and Wells Fargo Economics

Pop in Wages, but Signs of Caution in Spending

As markets remain keenly focused on the conflict in Iran and potential domestic impact, the January personal income & spending data feel even further out of date. They're still important in terms of monitoring the state of the consumer, and show households entered the year with fairly sturdy spending momentum. But under the surface a renewed slowing in discretionary spending suggests some cautious behavior among households, even ahead of the recent oil-price shock.

Real personal spending rose 0.1% as goods spending slipped (0.4%) and services consumption expanded (0.3%). At first pass, the fastest pace of services spending in four months is encouraging and signals resilience despite the weaker retail sales print last week.

While that remains true, the main discretionary services components (transportation services, recreation services and food services & accommodation) all slowed during the month. As we can see in the nearby chart, the broader pace of annual discretionary spending has broken lower in recent months and signals some cautious behavior among households.

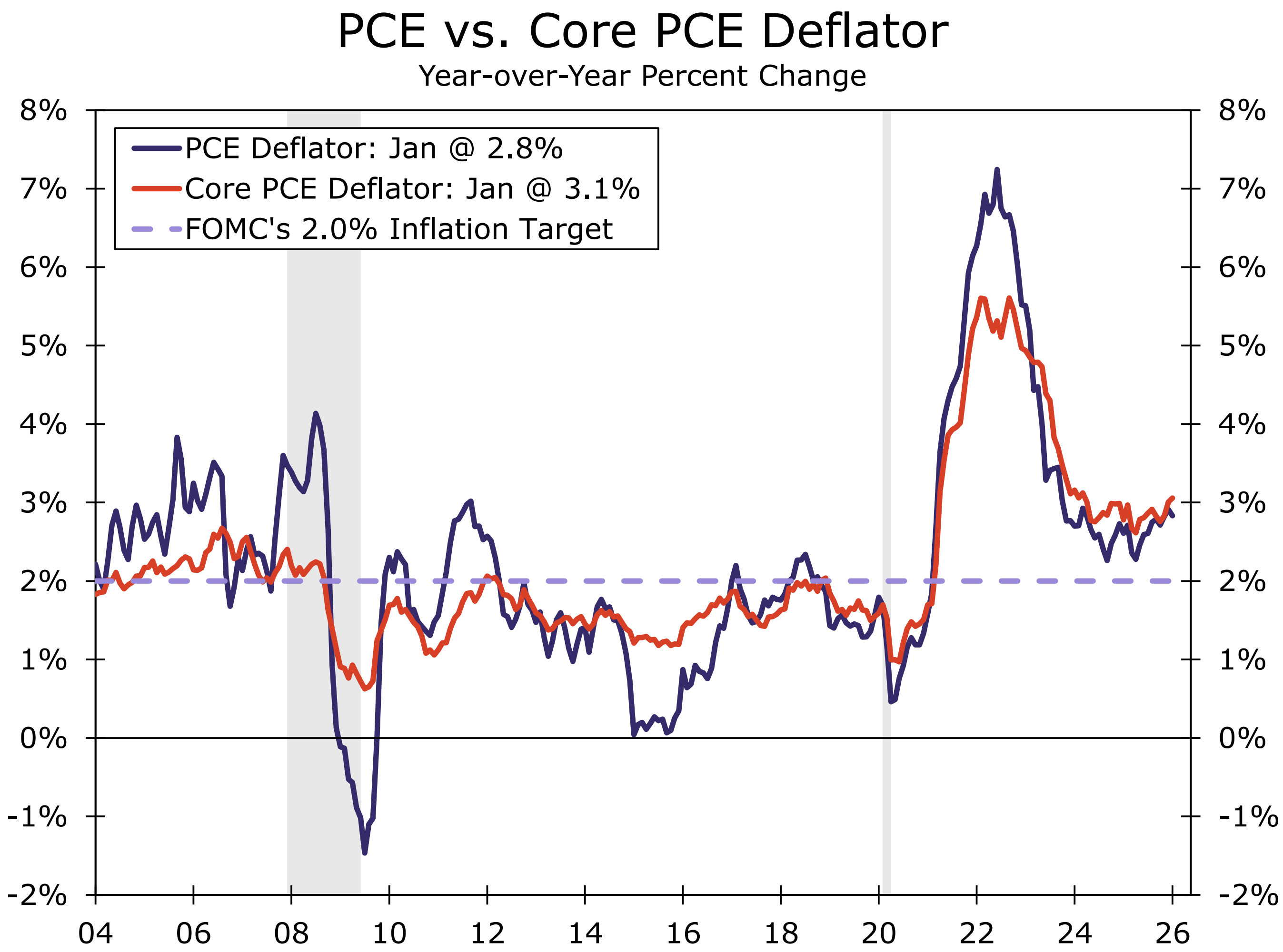


Source: U.S. Department of Commerce and Wells Fargo Economics

The 0.4% gain in personal income came in how we anticipated for total growth, but the details suggest income was a bit sturdier than we anticipated (chart). That's because most of the growth stems from a 0.5% gain in wages & salaries, or the largest monthly gain in four months, rather than solely resting on the annual cost-of-living adjustment (COLA) to social security benefits. Together these two components propelled total real disposable personal income growth, or household purchasing power, to rise at its fastest monthly clip in three years, up 0.7%.

There was little surprise on the inflation side. The core PCE deflator rose 0.4%, lifting the annual rate of inflation a tenth to 3.1% (chart). With the Consumer Price Index in for February and the ongoing conflict in Iran, these data feel stale as we brace for some upside to inflation in the coming months.

In addition to today's personal income & spending report, we got the second estimate of fourth-quarter GDP growth, which sliced the fourth-quarter GDP figure in half—a 0.7% annualized clip, versus 1.4% previously estimated. The downward revisions stemmed from lower services exports, softer structures investment, and weaker consumer services spending. The modest real spending data for January, combined with downward revisions to Q4 spending, suggest some modest downside risk to our estimate of a 1.9% annualized rate of real personal consumption expenditure (PCE) growth in Q1 and suggest PCE is tracking closer to about 1.5%.



Source: U.S. Department of Commerce and Wells Fargo Economics

Higher gasoline prices in the wake of the conflict in Iran will likely exert some modest downward pressure on household purchasing power in coming months. In a recent note, we highlight how gasoline and even broader energy-related purchases make up a smaller share of household spending today than they once did. But even so, we've marked down our consumer spending forecast in our recent update as a result and expect a slower pace of spending this year.

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All estimates/forecasts are as of 3/13/2026 unless otherwise stated. 3/13/2026 10:20:41 EDT.

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